Township of NIPISSING
"Life the way it should be" ESTABLISHED 1888

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REPORT TO COUNCIL

Date: August 17, 2026

From: Kris Croskery-Hodgins, Municipal Administrator-Clerk-Treasurer

Re: Reserve Accounts and Transfers

Background:
The Township of Nipissing has 2 lawnmowers, commercial units, within the maintenance fleet.
One was purchased in 2013 and one in 2014.
The Township lists equipment in the Capital Forecast document to provide direction of capital purchases and financial requirement estimates for a ten-year window.

In 2024, the Capital Forecast included a lawnmower replacement with a note that the amount, if not required in that year, was to be placed into reserve.
In the 2026 line of that same forecast, it stated the same for the second mower. The wording is not as clear as it could have been.

In 2024, the lawnmower did not require replacement and was not placed into the working budget, therefore, it was not moved into reserves as stated.

This continued to 2026.

In 2026, due to the duplication of the wording in 2026 for this equipment, one was not included in the listing as it should have been. Also, the 2026 budget does not include the replacement of the mower as it was not anticipated until late in the 2026 season when it began to burn oil and the PTO switch began to malfunction.

A replacement machine was purchased. The amount specifically for the machine is not listed in a reserves line, rather in the Working Capital line of the reserve records.

Financial Implications:

At the end of each year, amounts in surplus or deficit are placed or removed from the Working Capital Reserve. This acts as the tax stabilization reserve and has a number of identified reserve amounts within it.

The lawnmower was not budgeted and not placed into reserve. However, the lawnmower cost will be split in 2 and applied to the Cemetery Maintenance account and the Park Maintenance account in the budget. This will place both of these budgets into a deficit position at the end of 2026. Once the entire budget is reviewed and adjusted by the annual audit, the surplus/deficit will be accommodated by the Capital Reserve.

Summary:

For clarification of the amount coming from reserves, the entire amount of the lawnmower less the trade in amount provided by the vendor and the apportionment of taxes required, will be taken from the Working Capital Reserve.

Recommendation:

1. Tracking of the Capital Forecast will be maintained in a different software program providing a different presentation and clarification on the items. The new tracking system will be presented at the 2027 Budget.
2. The reserves will be tracked in the Munisoft system General Ledger, improving the presentation and note making ability.

Staff are routinely monitoring these records and researching improved methods of tracking and presenting the information publicly.

The Audited Financial Statements have confirmed the reserves and accounting methods used each year. These can be located on the Township website or in printed form at the Township Office.

Respectfully,

Kris Croskery-Hodgins
Municipal Administrator-Clerk-Treasurer